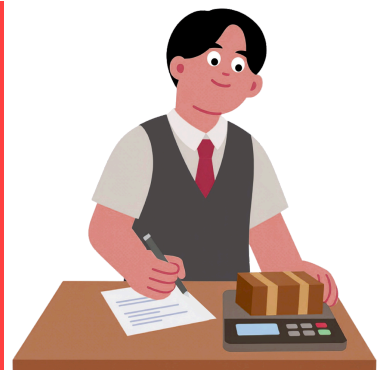
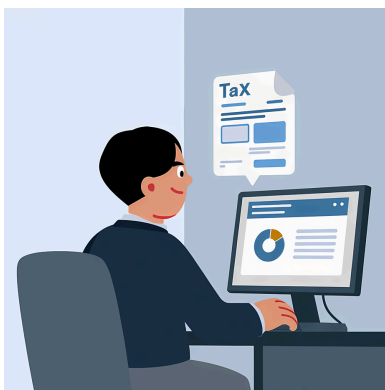




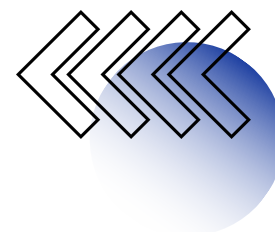
DPIIT
#startupindia

Tax Playbook For Startup Ecosystem





Overview



Part A — Direct Tax Benefits (For DPIIT Recognized Startups)

**Sec 80-IAC (1961) /
Sec 140 (2025)**

Deduction on profits and gains

**Sec 192 (1961) / Sec
392 & 289 (2025)**

Deferral of ESOP Taxation

**Sec 79 (1961) /
Sec 119 (2025)**

Carry forward and set off of losses

Part B — Direct Tax Benefits (General Incentives)

**Sec 35 (1961) / Sec
45 (2025)**

R&D expenditure deductions

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Part C — Goods and Services Tax Benefits

**Notification No. 12/2017
Central Tax (Rate)**

Exemption for incubatees and incubators

**Other
Provisions**

Various other enabling incentives

Part D — GIFT City Tax Incentives

Part E — Incentives for Investors

What is a recognised startup?



In India, **an entity can be referred to or recognised as a 'startup'** only if it has been granted official **recognition by the Department for Promotion of Industry and Internal Trade (DPIIT)**, based on the eligibility criteria notified from time to time. **'Startup' means an entity which:**

- 01** is incorporated or registered in India as a **private limited company** (as defined in the Companies Act, 2013) or registered as a **partnership firm** (registered under section 59 of the Partnership Act, 1932) or a **limited liability partnership** (under the Limited Liability Partnership Act, 2008) or a **Multi-State Cooperative Society** registered with the Central Registrar of Cooperative Societies (under the Multi-State Cooperative Societies Act, 2002) or a **Cooperative Society registered under any State or Union Territory Cooperative Societies Act** with the respective Registrar of Cooperative Societies in India;
- 02** is within a period of **ten years** from the date of its incorporation or registration.
- 03** has a **turnover** for any of the financial years since incorporation or registration **not exceeding two hundred crore rupees**; and
- 04** is working towards **innovation, development or improvement** of products or processes or services, or is a scalable business model with a **high potential of employment generation or wealth creation**.

Provided that, an entity formed by splitting up or reconstruction of an existing business shall not be considered a Startup.

Visit: *Startup
India Website*



OR

Visit: *National
Single Window
System*



What is a recognised deep tech startup?

In the case of an entity recognised as a 'Deep Tech Startup', the **age and turnover criteria** are as follows:

- 01** it shall be within a period of up to **twenty years** from the date of its incorporation or registration; and
- 02** the turnover limit shall not exceed **three hundred crore rupees** for any of the financial years since incorporation or registration

A 'Deep Tech Startup' means a 'Startup' that has the following attributes, in addition to the criteria detailed earlier:

- 1** It is working on **producing a solution based on new knowledge/advancements** within a **scientific or engineering discipline or multiple disciplines**, which is **yet to be developed or is in the process of being developed**;
- 2** It has a **high percentage of expenditure on research and development (R&D) activities** as a percentage of revenue/funding;
- 3** It **owns or is in the process of creating significant novel intellectual property (IP)** and taking steps to **commercialize** the same; and
- 4** It is facing **extended development timelines**, long gestation periods, high capital and infrastructure requirements, and carrying **large technical or scientific uncertainty**.

The determination of whether an entity satisfies the attributes of a 'Deep Tech Startup' shall be made in accordance with such framework, parameters, and guidelines as may be issued by the DPIIT, and based on the documents and information furnished by the applicant in the manner specified by DPIIT. For the detailed notification visit the QR code:



Direct Tax Benefits

For DPIIT Recognized Startups

For details
visit the
QR code:



100% Tax Holiday for Eligible Startups

Sec 80-IAC (1961) / Sec 140 (2025)

01 Incentive



- 100% tax deduction on profits and gains derived from eligible business.
- Available for any 3 consecutive tax years within the first 10 years from incorporation.

02 Eligibility



- Be a pvt. ltd. company or a Limited Liability Partnership (LLP).
- Incorporated on or after 1 April 2016 and before 1 April 2030.
- Turnover must not exceed ₹300 crore in the relevant tax year.
- Hold certificate of eligible business issued by the IMB under DPIIT.

03 How to Claim Deduction



- Obtain DPIIT recognition as a startup on NSWS.
- Obtain IMB certification by applying on the Startup India Portal.
- Claim at the time of filing

Did You Know?



- This Income tax holiday is the same as corporate tax holiday for eligible startups
- MAT / AMT may still apply depending on entity structure and location - tax planning must be done keeping this in mind
- Deduction is available for any 3 consecutive years out of 10 since incorporation, not necessarily the first 3 years.
- Eligible entities can also explore presumptive taxation provision under Sec 44AD (1961)/ **Sec 58 (2025)** if the total turnover does not exceed Rs. 3 cr.

Direct Tax Benefits

For DPIIT Recognized Startups

For details
visit the
QR code:



Deferred Tax Payment on ESOPs / sweat equity

Sec 192 (1961) / Sec 392 and 289 (2025)

01 Incentive



- ESOPs / sweat equity are an employee benefit plan that allows employees to buy stocks of their employer (company)
- Instead of paying tax immediately, employees of eligible startups can defer tax payment on ESOPs / sweat equity shares received from the startup.

02 Eligibility



- Employer is an eligible startup under Section 140 (DPIIT-recognized + IMB certified).
- When income arises from specified securities / ESOPs / Sweat equity shares (taxed as perquisite under salary).
- Shares must be allotted or transferred by the startup employer (directly or indirectly).

03 How to Claim



Instead of paying tax immediately, the employee must pay tax within 14 days of the earliest of:

- Expiry of 60 months from the end of the relevant tax year; OR
- Sale of shares by the employee; OR
- Exit from the company (when the employee leaves the startup).

Did You Know?



- Employees Stock Option Plan (ESOP) and Sweat Equity Shares are methods of issuing shares by a company to its employees.
- They are a key tool in attracting, retaining, and rewarding skilled talent which is critical for startups.
- The deferral provision makes such ESOPs more attractive.

Direct Tax Benefits

For DPIIT Recognized Startups

For details
visit the
QR code:



Carry Forward of Losses for Eligible Startups

Sec 79 (1961) / Sec 119 (2025)

01 Incentive



- Eligible entities are allowed to carry forward and set off of losses against income in future years
- Eligible startups have relaxation from the standard shareholding continuity rule for carrying forward losses subject to certain conditions

02 Eligibility



- The company is an eligible startup under Section 140 (DPIIT-recognized + IMB certified).
- All shareholders who held shares carrying voting power on the last day of the year(s) when the loss was incurred must continue to hold those shares on the last day of the year of set-off
- Percentage holding can change, only continuity of shareholders matters.
- Losses must have been incurred within 10 years from incorporation.

03 How to Claim



- Obtain DPIIT recognition as a startup on NSWS
- Obtain IMB certification on Startup India Portal
- Track losses and plan set-off, ensure shareholder continuity
- Claim at the time of filing

Did You Know?



- Since most Venture Capital funding rounds involve shareholding dilution, the provision helps startups carry forward losses in a dynamically changing environment.
- Utilizing this provision requires careful tax structuring and fund raising planning

Direct Tax Benefits

General Incentives

R&D and Scientific Research Expenditure Deduction

Sec 35 (1961) / Sec 45 (2025)

For details
visit the
QR codes:



01 Incentive



- Tax deduction available on revenue expenditure and capital expenditure (excluding land) on scientific research.
- Deduction allowed for:
 - R&D expenses including pre-commencement research expenses (incurred up to 3 years before commencement).
 - Payments made to approved research institutions, universities, laboratories, etc.

02 Eligibility



- Taxpayer (including startups) incurring expenditure on scientific research related to its business.
- For in-house R&D deduction, facility must be approved by the prescribed authority.
- Pre-commencement expenses are eligible if certified by the prescribed authority.
- Deduction allowed if payment is made to approved research institutions / universities / entities.

03 How to Claim Deduction



- Identify qualifying expenses
- Track R&D spend incurred before business started (up to 3 years)
- Obtain relevant certification/approval from prescribed authorities
- Claim at the time of filing

Did You Know?



Prescribed authorities under the provision are Principal Chief Commissioner of Income-tax (Exemptions) in concurrence with Secretary, Department of Scientific and Industrial Research - check the specific deduction/approval being sought carefully

Direct Tax Benefits

General Incentives

For details
visit the
QR code:



Concessional Tax on Patent Royalty Income

Sec 115BBF (1961) / Sec 194 (2025)

01 Incentive



- Concessional tax rate of 10% available on royalty income arising from a patent developed and registered in India.
- This provides a significant reduction, encouraging innovation and IP commercialization in India.

02 Eligibility



- The taxpayer must be a resident in India, and a patentee.
- The patent must be developed and registered in India.
- The income must be specifically in the nature of royalty from patent.
- Once opted, must consistently offer such royalty income to tax under this regime for at least 5 subsequent years.
- Failure to do so results in disqualification from claiming this benefit for the next 5 years.

03 How to Claim Deduction / Benefit



- Opt for the 10% patent royalty taxation regime in the prescribed manner/form while filing
- The option must be exercised on or before the due date of filing the income tax return.
- No deductions or expenses related to such royalty income can be claimed.
- Continue using this regime for at least 5 consecutive years.

Did You Know?



- This "Patent Box Regime" is for royalty on a patent e.g. through licensing and not from selling the patent itself.
- Form 65 (2025) is used to opt in for this regime
- The "true and first inventor" whose name is entered on the patent register, only, is eligible for availing benefit

Direct Tax Benefits

General Incentives

For details
visit the
QR code:



Deduction for Employment of New Employees

Sec 80JJAA (1961) / Sec 146 (2025)

01 Incentive



- Deduction of 30% available on additional employee costs to support employment generation
- Available for 3 consecutive tax years, starting from the year in which employment is generated.

02 Eligibility



- Taxpayer (including DPIIT-recognized startup) must ensure:
- Should have business income taxable under the relevant provisions.
- Deduction is only applicable for "Additional employees" which increase total employee count vs. previous year and whose employment adheres to the conditions laid out in section 146
- Must be an assessee to whom section 63 applies i.e. getting books of account audited.

03 How to Claim Deduction



- Compute the increase in employee count compared to last year.
- Calculate total eligible emoluments paid to additional employees.
- Compute and claim deduction at the time of filing.
- Ensure and file compliance i.e. audit report by the specified date.

Did You Know?



- Only employees drawing emoluments of less than ₹25,000 per month qualify as "additional employees" for this deduction.
- The new employee must have been employed for at least 240 days in the tax year (150 days for certain seasonal industries).
- Various other requirements are present which must be evaluated carefully.

GST Benefits

For Startup Ecosystem



For details
visit the
QR code:



GST Exemption for Incubatees and Incubators

01

ENTRY NO. 44 EXEMPTION FOR INCUBATEES

Services provided by an “incubatee” are exempt from GST up to ₹50 lakhs turnover in a financial year.

This exemption is allowed only if:

- The turnover in the previous financial year did not exceed ₹50 lakhs, and
- The exemption is available only for 3 years from the date the entity becomes an incubatee.

- GST exemption applies to services provided by: Technology Business Incubators, or Science & Technology Entrepreneurship Parks, or Bio-incubators
- These entities must be recognized by relevant government bodies, such as NSTEDB or BIRAC.

02

ENTRY NO. 48 EXEMPTION FOR INCUBATORS

Did You Know?



Here “incubatee” means an entrepreneur located within the premises of a TBI or Science and Technology Entrepreneurship Park recognised by NSTEDB and who has entered into an agreement with the TBI or the Science and Technology Entrepreneurship Park to develop and produce hi-tech and innovative products.

GST Ease of Doing Business



General Provisions

Simplified registration

Simplified registration scheme where automated registration is granted within 3 working days for low-risk applicants and those with output tax liability up to Rs. 2.5 lakh per month on supplies to registered persons.

Electronic Refund Process

Refund process is electronic since 26.09.2019. Risk-based provisional refund has been introduced for zero-rated supplies with 90% provisional refund in low-risk cases w.e.f. 01.10.2025.

Composition Scheme

For a registered person whose aggregate turnover in the preceding financial year did not exceed Rs. 1.5 cr. (for goods) or Rs. 50 lakh (for services or mixed supply for goods and services). It enables a reduced tax rate of 1% to 6% based on business type. Special requirements may be in place for certain States.

Quarterly return filing and monthly payment (QRMP) and Annual Returns

Scheme of quarterly return filing and monthly payment (QRMP), introduced wherein taxpayers with turnover up to Rs. 5 crore have an option to file returns on quarterly basis instead of monthly returns. Further, certain class of taxpayers may be exempted from filing Form GSTR-9 (annual return) by way of Notifications issued by Government of India from time to time.

Enabling Working Capital

To address the grievances of the taxpayers for blockage of working capital instructions have been issued vide Instruction no 06/2025-GST dated 01.10.2025 by the Central Board of Indirect Taxes and Customs to its field formations and officers to provide provisional refund on account of inverted duty structure also.

Pre-deposit required for filing appeals

Amendment has been made in Sections 107 and 112 of the Central Goods and Services Tax Act, 2017, for reducing the amount of pre-deposit required for filing appeals under GST. The pre-deposit has been capped and reduced to Rs 40 crores (Rs 20 crores (CGST) and Rs 20 crores (SGST)) under the CGST Act, 2017.

GIFT City Tax Incentives



For detailed incentives visit the QR code:



100% income tax exemption for a period of 10 out of 15 years for GIFT IFSC units



Transactions executed on GIFT IFSC exchanges exempt from Securities Transaction Tax (STT), Commodities Transaction Tax (CTT), and stamp duty.



Units in GIFT IFSC subject to MAT at a rate of 9% of book profits, with exemptions for some entities.



Interest paid to non-residents on money lent to GIFT IFSC units not subject to taxation



Transfers of specified securities on GIFT IFSC exchanges by non-residents exempt from capital gains tax



Units, services providers, offshore clients within GIFT IFSC given exemptions/relaxations for GST and Customs



State subsidies for prescribed eligible activities under the IT/ITES policy



Units within GIFT IFSC are exempt from FEMA regulations



Indian residents permitted to contribute to investment vehicles in GIFT IFSC as Other Persons Resident in India

Did You Know?



GIFT City is India's only IFSC (International Financial Services Centre). It is in Gandhinagar, Gujarat, specifically designed to provide world-class infrastructure, regulatory regime, and services for financial institutions and companies.

Incentives for Investors



For details
visit the
QR code:



Pass Through Status for AIFs *(Section 11 & 224 (2025) / Section 10 & 115UB (1961))*

The Income Tax Act accords pass-through status to Category I & II Alternative Investment Funds (AIFs), Securitisation Trusts, and Business Trusts. Under this mechanism, tax is levied at the investor level rather than the entity level, ensuring fiscal neutrality and preventing double taxation.

Grandfathering rules under GAAR *(Rule 128 (2026) / Rule 10U (1962))*

Income arising from the transfer of investments made prior to 1 April 2017 will not be subject to the provisions of Chapter XI / X-A (GAAR), ensuring certainty for legacy investments and alleviating concerns regarding retrospective application.

Did You Know?



Angel tax has been abolished with effect from 1st April 2025 to enable ease of raising capital.

It was a direct tax levied on the excess amount of share premium over and above the fair market value ("FMV") of shares issued by unlisted companies (including startups) on raising capital from investors.





Need more help?

Get in Touch

Thank You



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information and
resources:



Disclaimer: This document has been prepared just for knowledge and learning purposes only. The information contained herein is of a general nature, it does not intend to address the circumstances of any individual or entity. This document does not constitute legal or financial advice. DPIIT recognition does not automatically entitle a startup to the startup-specific benefits detailed herein. Recognition only makes a startup eligible to apply for such benefits (as applicable). Each incentive or exemption is governed by its own rules, guidelines, and application process, and startups may be required to separately apply and qualify in order to avail them. One must do thorough examination and go through in detail of the guidelines/rules of specific incentive(s). The information provided are illustrative and may involve benefits which are timebound and evolving in nature depending on changing rules, regulations, acts, and laws of the country. All exemptions/incentives are subject to relevant assessment procedures by the tax authorities. Taxpayers must refer to the updated Acts, Rules, Forms, Notifications, and resources from CBDT, CBIC, and the GST Council for latest information and guidance.



CBDT Resources



**CBIC Information
Portal**



**GST Information
Portal**